Meta Platforms, Inc.

META NASDAQ

Buy	$631.39 ▼ 1.75%	12M Price Target	52-Week Range	Market Cap
		$740.00	$520.26 – $779.82	$1.61T

META: Post-Earnings Jitters, But AI Capex Story Intact

WHAT HAPPENED

- Stock is down ~9% in four sessions (from $697 to $631) with no news and no filings — that's the market pre-positioning ahead of Q3 earnings next week. The giant put buying at $640-645 strikes (over $27M notional, up to 42x normal open interest) tells you institutions are hedging or outright betting on a disappointing print — specifically, they're worried about Reality Labs losses and the 2027 capex guide.
- The COO sold ~$825K on Oct 19 near the highs — not huge, but notable that it was right before the slide. Insiders don't usually time it that well by accident; could just be a 10b5-1 plan, but worth flagging.

WHY IT MATTERS

Here's what I'm reading: the tape is pricing in an earnings miss or a scary capex number, not a fundamental break in the business. META's ad business is still printing cash, and the real question for next week isn't "did Q3 revenue beat" (it probably did) but "how much are they spending on AI data centers in 2027?" If Zuck guides capex to $110B+ (vs ~$95B expected), the stock gets hit again regardless of earnings quality — that's the setup the puts are telegraphing. The flip side: if guidance is merely in-line, you get a relief rally back toward $680 because sentiment is already washed out. Politically, META is in a weirdly good spot — the Trump administration has been openly hostile to EU tech regulation (DMA, DSA) and is pushing back on foreign fines against US champions, which structurally de-risks META's biggest regulatory overhang.

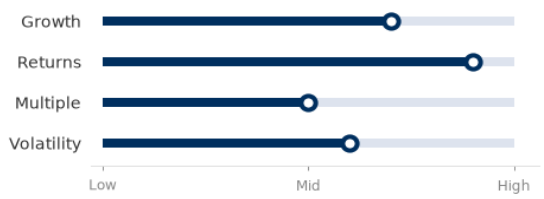
POLICY & POLITICAL WATCH

Two things to watch: (1) The ongoing fight over state-level AI regulation — there's a push in Congress for a federal preemption bill that would block states like California and Texas from passing their own AI rules. If that passes, it's a huge win for META because it means one compliance standard instead of 50. (2) Section 230 reform chatter is quiet right now but could flare up — any serious bill limiting platform liability protection would hit META's ad targeting model directly. Net-net, the regulatory wind is at META's back in DC, which is a meaningful change from 2021-2023.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$631.39**
12M Price Target	**$740.00**
Upside / (Downside)	**+17.2%**
Market Cap	**$1.61T**
FY2026E Revenue	**$195M**
FY2027E Revenue	**$223M**
FY2026E EPS	**$27.50**
FY2027E EPS	**$32.10**
Fwd P/E	**22.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

META — Meta Platforms, Inc. | October 26, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$680.00**	$640.00	**$590.00**
6 Months	**$780.00**	$700.00	**$560.00**
1 Year	**$850.00**	$740.00	**$540.00**
2 Years	**$1000.00**	$820.00	**$500.00**
5 Years	**$1400.00**	$1000.00	**$450.00**
10 Years	**$2200.00**	$1400.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Broad tech (+1.93% today) is leading — AI infrastructure names and semis continue to catch bids as Q3 earnings season reinforces the capex story. Industrials also strong on reshoring and defense spend.

COOLING OFF: META specifically is diverging from the sector — down while XLK is up almost 2% today. That's a company-specific signal, not a sector problem.

ROTATION WATCH: Money is rotating within tech from mega-cap platforms (META, GOOGL have both been weak) toward AI infrastructure (NVDA, AVGO, data center REITs). Investors want pure AI exposure without the "are you spending too much?" overhang.

RELATED PLAY: If you believe META's capex is real, the picks-and-shovels trade is better right now — Vertiv (VRT) for cooling, data center REITs like DLR and EQIX, and the obvious NVDA. They capture the spending without carrying the "when does it monetize" risk.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the cleanest AI capex beneficiary — every dollar META spends on data centers largely flows through them.
- GOOGL (Alphabet): Reported strong cloud/AI numbers recently and is being rewarded for showing AI revenue, not just AI spend — which is the exact bar META needs to clear next week.

META CONTEXT: META is lagging the sector hard this week, which usually means one of two things — either the market knows something bad is coming, or it's over-positioned bearish into a catalyst. Given the put flow is this extreme, I lean toward the latter. Washed-out sentiment before earnings has historically been a good setup for META specifically.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $600-625 on further weakness

Time Horizon: 12-24 months

Thesis Invalidation: Ad revenue growth drops below 10% YoY or AI capex spirals past $100B with no monetization proof

Hedging: Pair with short GOOGL or long VIX calls into earnings

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